



# MANAGING LIABILITIES

Previously, we had conducted two checks for our solvency. We will assume that our EMI coverage ratio is more than 1.25 and our liabilities to net worth ratio is less than 3. If not, we need to stop moving forward and visit an expert right away, we might be facing a bankruptcy risk. We will only tread on if our debt is in control.

**SHOULD BE**

**EMI COVERAGE  
RATIO**

**=**

**SURPLUS BEFORE EMI**  
\_\_\_\_\_  
**EMI**

**MORE THAN  
1.25**

**LIABILITY TO NET  
WORTH RATIO**

**=**

**TOTAL LIABILITIES**  
\_\_\_\_\_  
**NET WORTH**

**LESS THAN  
3**